This project aims to present what is happening in the company and to forecast its revenues

1-Sources

https://www.sec.gov/edgar/search/#/ciks=0001038074&entityName=SILICON%2520LABORATORIES%2520INC.%2520(SLAB)%2520(CIK%25200001038074)

https://stockanalysis.com/stocks/slab/transcripts/324786-investor-day-2025/

https://www.investing.com/news/transcripts/silicon-labs-at-jpmorgan-conference-iot-wireless-growth-strategy-93CH-4045977

https://www.researchandmarkets.com/reports/6166053/iot-semiconductor-market-report?utm_code=cfm273&utm_exec=jocamsai#1

https://finance.yahoo.com/quote/SLAB/analysis/

https://finance.yahoo.com/quote/3048.TW/financials/

https://finance.yahoo.com/quote/ARW/financials/

2-Silicon Laboratories (SLAB): Overview of Current Company Performance

1. **Revenue Performance and Recovery**



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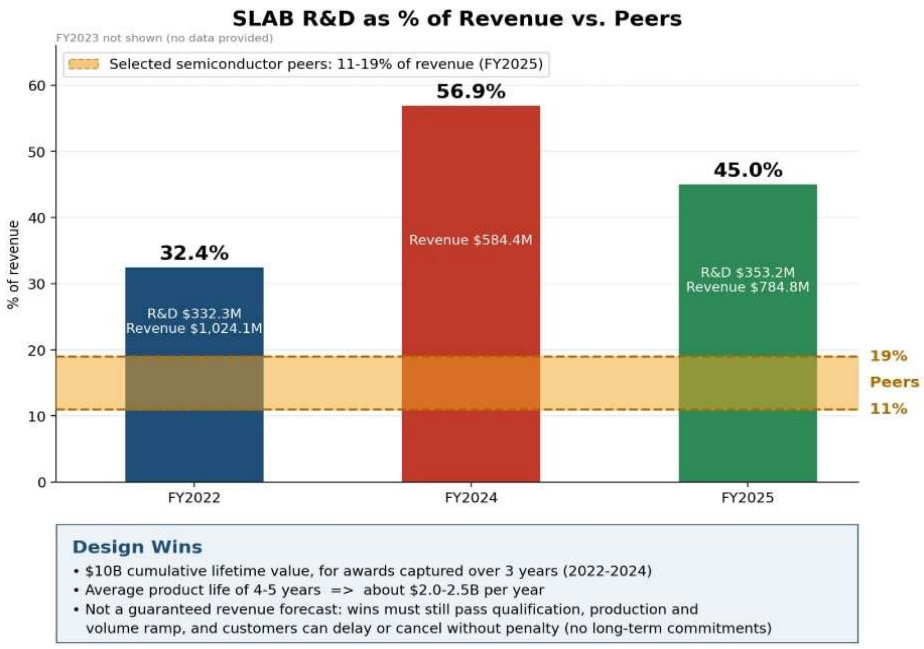
SLAB revenue history reflects a business cycle rather than consistent growth revenue increased from 720.9 million in FY2021 to 1,024.1 million in FY2022 declined to 782.3 million in FY2023 and 584.4 million in FY2024 then recovered by 34.3% to 784.8 million in FY2025 despite the recovery revenue remained below its FY2022 peak the decline was driven partly by customer and distributor destocking after the supply chain disruptions along with geopolitical challenges FY2025 growth came from both Industrial & Commercial revenue (+31%) and Home & Life revenue (+38%) however SLAB remains exposed to international markets with approximately 91% of revenue generated outside the United States.

2. Inventory, Distributors, and Gross Margin

Inventory was a major operational problem in FY2023 it reached 194.3 million equivalent to approximately 407 inventory days with 173.8 million in work in progress or 89% of total inventory SLAB had built products based on demand forecasts that did not materialize leading to excess inventory and a material weakness in inventory valuation controls management remediated the weakness in FY2024 and inventory improved to 105.6 million and 125 days then 95.6 million and 113 days in FY2025 although WIP still represented approximately 81% of inventory meanwhile Arrow Electronics and Edom Technology accounted for 49% of FY2025 revenue creating distributor concentration risk and all

distributor are 71% distributor purchases can indicate restocking distributor sales also tend to support SLAB gross margin SLAB gross margin was 59.0% in FY2021 peaked at 62.7% in FY2022 declined to 58.9% in FY2023 and 53.4% in FY2024 before recovering to 58.2% in FY2025 According to the FY2024 10-K the margin decline was primarily due to changes in customer and product mix including an increase in the proportion of revenue from direct customers relative to distributors Management comments in Q3 2025 indicated that a higher distributor sales mix, certain higher margin products, and stronger Industrial performance supported gross margin improvement however the company did not establish that distributors achieve higher margins specifically because they bear logistics, credit, and customer support costs For FY2025 as a whole the 10-K attributed the gross margin recovery primarily to indirect and overhead expenses decreasing as a percentage of revenue as sales increased therefore future gross margins will depend partly on distributor mix, product mix, pricing, manufacturing costs, and the company ability to spread overhead expenses across higher revenue In FY2025 Industrial & Commercial revenue grew by 31.4%, while Home & Life revenue grew by 38.2%. These are historical FY2025 growth rates and segment growth alone does not establish how much each segment contributed to the overall gross margin improvement.

2. R&D and Design-Win Opportunity

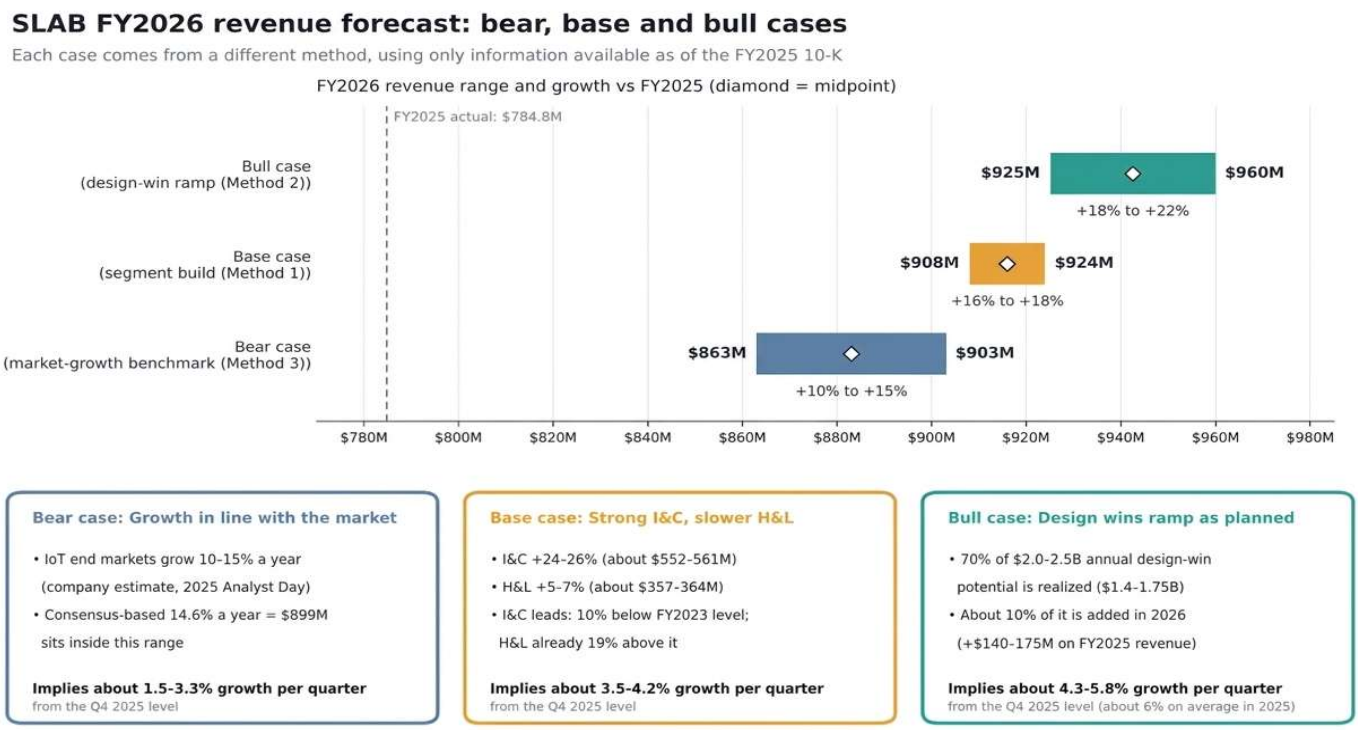


SLAB R&D expenditure stayed relatively stable increasing from 332.3 million in FY2022 to 353.2 million in FY2025 however R&D represented 45.0% of FY2025 revenue down from 56.9% in FY2024 as revenue recovered faster than R&D spending despite this improvement the ratio remains high compared with selected semiconductor peers which spent approximately 11–19% of revenue on R&D in FY2025 This highlights a scale challenge SLAB needs to grow revenue faster than R&D expenditure to improve operating income while maintaining sufficient investment to develop competitive products The company announced 10 billion in cumulative design win lifetime value for awards captured during 2022–2024 based on an average product life of 4-5 year this is equivalent to 2.0–2.5 billion annually but its not a guaranteed annual revenue forecast design win must still progress through qualification, production, and volume ramps, and customers can delay, reduce, or cancel purchases without penalty because SLAB does not have long-term purchase commitments.

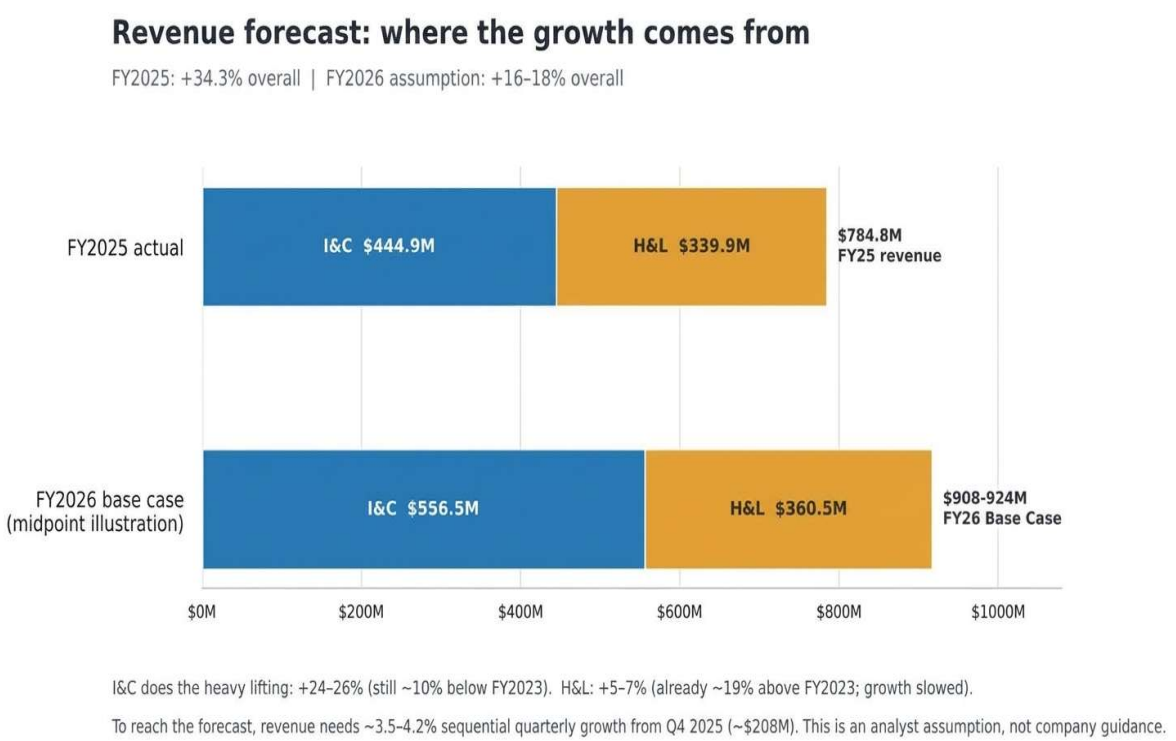
4. Profitability, Cash Flow, and Forecasting Implications

Despite revenue recovery SLAB reported a net loss of 64.9 million in FY2025 while operating cash flow was positive at 95.7 million Non cash expenses including stock based compensation, depreciation, amortization, and deferred taxes help explain the difference alongside working capital changes positive operating cash flow therefore does not by itself establish sustainable profitability.

3-Silicon Laboratories (SLAB): Revenue 2026 Forecasting

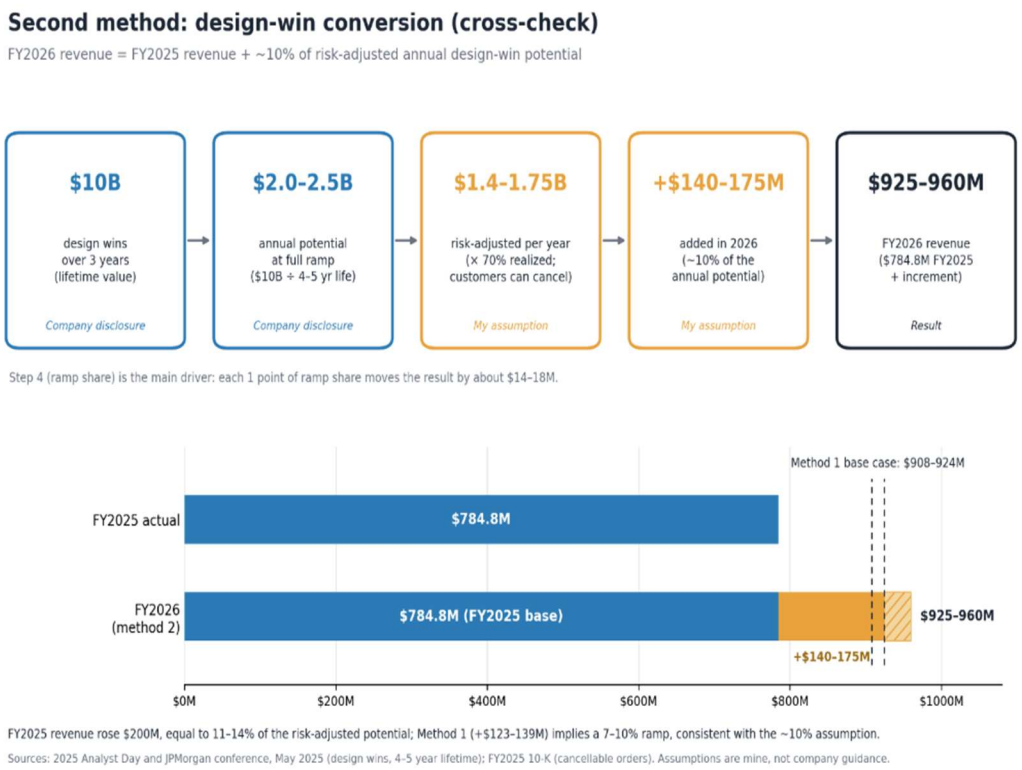


First Method (Base Case)



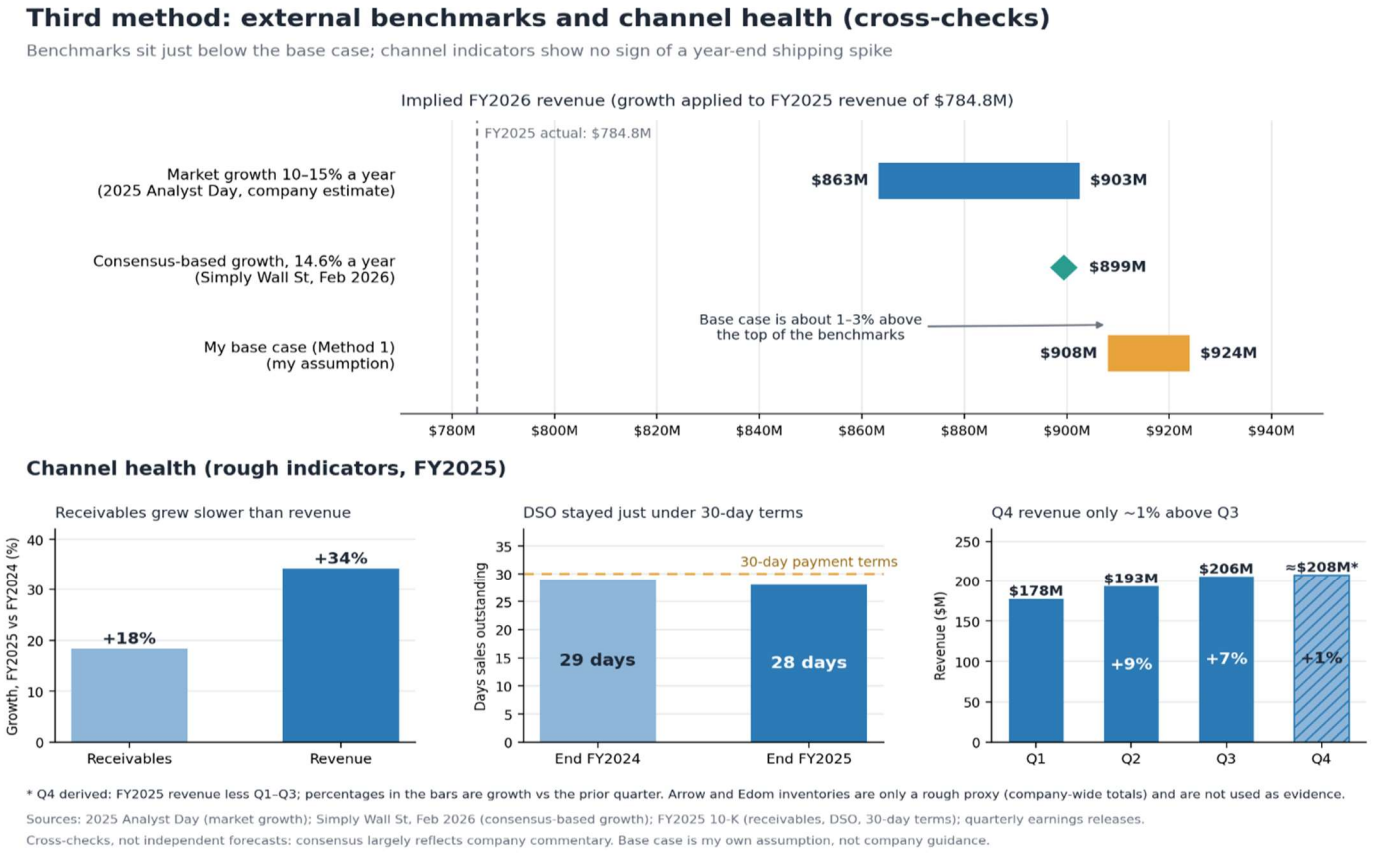
The segment assumptions are anchored on management's long-term framework from the 2025 Analyst Day (faster end-market growth for I&C than for H&L, plus 5–10 points of share gains) and adjusted by my own judgment SLAB suspended guidance after announcing the Texas Instruments merger FY2025.

Second method (Bull Case)



Silicon Labs disclosed about 10 billion of design wins over three years with 4–5 year lifetimes that gives 2.0–2.5 billion of annual revenue potential at full ramp because customers can cancel without penalty (FY2025 10-K) I assume 70% is realized (my assumption) or 1.4–1.75 billion per year Design wins ramp gradually so I assume about 10% of that annual potential is added in 2026 (my assumption) FY2025 revenue rose 200 million equal to 11–14% of the potential but that included recovery from customer destocking This adds about 140–175 million to FY2025 revenue of 784.8 million giving roughly 925–960 million My segment forecast gives a 7–10% ramp of the risk adjusted potential consistent with this assumption.

Third Method (Bear Case)



Management estimated IoT end market growth of 10–15% a year FY2025 revenue of 784.8 million this gives about 863–903 million a consensus based estimate of about 14.6% annual revenue growth (Simply Wall St, February 2026) implies about 899 million My base case sits about 1–3% above these figures consistent with SLAB history at the high end of market growth consensus largely reflects company commentary so these are cross checks not independent forecast receivables rose 18% against revenue growth of 34% DSO was stable at 28–29 days against 30 day payment terms and Q4 2025 revenue was only about 1% above Q3 so there is no sign of a year end shipping spike Arrow and Edom reported inventories fell or were flat in Q2–Q3 2025 and increased in Q4 this is Inaccurate indicator since these are company wide totals across many suppliers.